

TENTATIVE RULING

Case: Kays et al. v. FCA US LLC et al.
Case No. CV2025-1760

Hearing Date: March 10, 2026 **Department Fourteen** **9:00 a.m.**

The Court reminds defendant FCA US LLC of the memorandum page length limitations. (Cal. Rules of Court, rule 3.1113(d) [stating that “no opening or responding memorandum may exceed 15 pages”].) “[n]o reply or closing memorandum may exceed 10 pages.”) In the future, the Court may decline to consider any argument or legal authority found in pages exceeding the maximum permitted number of pages.

The Court rules on defendant’s demurrer to plaintiffs Robert Kays and Jane Kays’ first amended complaint as follows:

- Defendant’s demurrer to the first, second, and third causes of actions [brought pursuant to Civil Code section 1793.2] on the ground that these causes of action are time-barred by the statute of limitations and statute of repose found in Code of Civil Procedure section 871.21 is **OVERRULED**. (Code Civ. Proc., §§ 430.10, subd. (e); see *Bell v. Bank of California* (1908) 153 Cal. 234, 245.) The Court finds that defendant fails to show that it elected to proceed under Code of Civil Procedure section 871.29 because this evidence presented on this issue is extrinsic to the first amended complaint and defendant did not request that the Court judicial notice of it. (Code Civ. Proc., § 871.20, subd. (a); see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994; *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881.) Further, new arguments may not be raised for the first time in a reply brief. (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 770 [an issue not adequately raised in moving papers is forfeited].)
- Defendant’s demurrer to the fourth cause of action for breach of implied warranty on the ground that it is time-barred by the four-year statute of limitations is **OVERRULED**. (Code Civ. Proc., §§ 430.10, subd. (e); see *Bell, supra*, 153 Cal. at p., 245.) While the Court finds that a cause of action based on a latent defect has a limited prospective existence beyond the date of sale, no legal authority has been provided setting forth how the Court determines the date the statute of limitations begins to run when a latent defect is alleged. (See *Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1303-1304, 1309 [“The implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale.”].)
- Defendant’s demurrer to the sixth cause of action for fraudulent inducement – concealment on the ground that it is time-barred by the three-year statute of limitations is **OVERRULED**. (Code Civ. Proc., §§ 430.10, subd. (e); see *Bell, supra*, 153 Cal. at p., 245.) The Court finds that plaintiffs’ delay in discovering the alleged fraud was excusable and that the delayed discovery doctrine applies. (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1110 [“Under the discovery rule, the statute of limitations begins to run when the plaintiff suspects or should suspect that her injury was caused by wrongdoing, that someone has done something wrong to her.”]; *Johnson v. Ehrgott* (1934) 1 Cal.2d 136, 137-138; see *Broberg v. The Guardian Life Ins. Co. of America* (2009) 171 Cal.App.4th

912, 921; FAC, ¶¶ 47 – 50, 57 – 60, 88 – 90.) The Court also notes that the date plaintiffs discovered defendant’s alleged fraud is not identified in the first amended complaint; thus, the Court cannot determine if plaintiffs complied with the three-year statute of limitations set forth in Code of Civil Procedure section 338. (See *Jolly, supra*, 44 Cal.3d at p. 1112 [when a plaintiff reasonably should have discovered facts for purposes of the accrual of a cause of action may only be decided as a matter of law if the allegations in the complaint and facts properly subject to judicial notice can support only one reasonable conclusion]; FAC, ¶ 51.)

- Defendant’s demurrer to the sixth cause of action for fraudulent inducement – concealment on the ground that it fails to allege facts sufficient to state a cause of action is **OVERRULED**. (Code Civ. Proc., §§ 430.10, subd. (e).) The Court finds that plaintiffs have sufficiently alleged facts to state this cause of action. (*Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, 1131; FAC, ¶¶ 11 – 32, 51, 88 – 90.)
- Defendant’s demurrer to the sixth cause of action for fraudulent inducement – concealment on the ground that it fails to allege a transactional relationship giving rise to a duty to disclose is **OVERRULED**. (Code Civ. Proc., §§ 430.10, subd. (e).) The Court finds that plaintiffs have sufficiently alleged facts to state this cause of action. (*Bader, supra*, 86 Cal.App.5th at p. 1131 [where a fiduciary relationship does not exist, a transaction relationship, such as one between a buyer and a seller, or any contractual relationship, is sufficient to create a duty to disclose]; FAC, ¶¶ 11 – 32, 51, 88 – 90.)
- Defendant’s demurrer to the sixth cause of action for fraudulent inducement – concealment on the ground that it is barred by the Economic Loss Rule and independent tort principle as plaintiffs cannot establish the elements of their fraudulent concealment claim independently of the parties’ contractual rights and obligations is **OVERRULED**. (Code Civ. Proc., §§ 430.10, subd. (e).) The Court finds that the economic loss rule does not bar this cause of action. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645; *Erlich v. Menezes* (1999) 21 Cal.4th 543, 551-552; *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 840 – 841, 843, 844 [“Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court.”]; FAC, §§ 3 – 5, 27, 58, 92 – 94.) The Court notes that the case of *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, is distinguishable because the California Supreme Court stated that it was not expressing any opinion on the application of the economic loss rule to claims based on fraudulent inducement by concealment. (*Rattagan*, at p. 41, fn. 12.)

The notice of demurrer does not provide notice of this Court’s tentative ruling system as required by Local Rule 11.2(b). Counsel for moving party, or the moving party if unrepresented by counsel, is ordered to notify the opposing party or parties immediately of the tentative ruling system.

If no hearing is requested, and no party appears at the hearing, this tentative ruling is effective immediately. No formal order pursuant to California Rules of Court, rule 3.1312 or further notice is required.

TENTATIVE RULING

Case: **Scott v. Performance Food Group, Inc.**
Case No. CV2024-0729

Hearing Date: **March 10, 2026** **Department Eleven** **9:00 a.m.**

Parties are **DIRECTED TO APPEAR** for a hearing on plaintiffs Steven Scott and Victor August's unopposed motion for preliminary approval of class and PAGA action settlement. (Cal. Rules of Court, rule 3.769(c), (d).)